all the instruments at its command to defend the rupee; I was careful not to make any reference to a ‘target rate’ or ‘volatility’, and added that we had enough firepower to stem the rupee’s fall. The strategy worked. The statement helped assuage the concerns raised by my previous day’s ‘hands-off’ approach, and within hours, the rupee recorded its biggest intra-day gain of 2013.

I had another chastening experience in the context of the savage market reaction to the capital controls imposed by us on corporates and individuals in mid-August 2013 that I wrote about earlier. Note that these restrictions applied only to the capital that residents could take out; we did not curb the freedom of non-residents in any way. Besides, at the level these facilities were being used, they would not have been binding except in a very few cases. So these capital controls triggered fear not so much because they were limiting on a stand-alone basis, but because they were seen as prelude to more draconian controls down the line.

I took the opportunity of the Palkhivala Memorial Lecture in late August 2013 to allay the fears on capital controls by reiterating that it was not the policy of the Reserve Bank to resort to capital controls or reverse the direction of capital account liberalization and that these measures were temporary and would be withdrawn when the rupee stabilized.

Structural Causes of the Rupee Turmoil

The thrust of my communication effort all through this period was to drive home a more basic message: India was running an unsustainable current-account deficit by spending more on imports than we were earning from our exports. What was worse, we were importing not capital goods that would add to production capacity and help resolve our massive supply constraints, but were importing unproductive goods like gold.

Just as a household cannot spend more than it earns unless someone is willing to lend it money, even an economy cannot run a current-account deficit unless an external party is willing to lend it foreign currency to finance the deficit. And the more we depend on external financing—